



Society of Petroleum Engineers

**SPE-229245-MS**

## **Transforming Worker Welfare in Oman's Energy Sector: PDO's Journey**

Dr. Ahmed Sulaiman Alabri, Worker Welfare Lead, Worker Welfare department, Petroleum Development Oman, Muscat, Oman

Copyright 2025, Society of Petroleum Engineers DOI [10.2118/229245-MS](https://doi.org/10.2118/229245-MS)

This paper was prepared for presentation at the ADIPEC held in Abu Dhabi, UAE, 3 – 6 November 2025.

This paper was selected for presentation by an SPE program committee following review of information contained in an abstract submitted by the author(s). Contents of the paper have not been reviewed by the Society of Petroleum Engineers and are subject to correction by the author(s). The material does not necessarily reflect any position of the Society of Petroleum Engineers, its officers, or members. Electronic reproduction, distribution, or storage of any part of this paper without the written consent of the Society of Petroleum Engineers is prohibited. Permission to reproduce in print is restricted to an abstract of not more than 300 words; illustrations may not be copied. The abstract must contain conspicuous acknowledgment of SPE copyright.

---

### **Abstract**

The global energy sector is under increasing pressure to demonstrate a holistic commitment to social responsibility, extending beyond traditional health and safety (HSE) to encompass comprehensive worker welfare. This paper details the strategic journey of Petroleum Development Oman (PDO) in developing and implementing a robust, data-driven worker welfare framework. Faced with the unique challenges of a large and diverse workforce exceeding 70,000 individuals operating in remote locations, PDO has established a multi-faceted program aligned with Oman Vision 2040, national labor laws, and international best practices, including OPAL and the UN Global Compact (UNGC). The manuscript documents the phased approach, from the foundational development of the PDO Worker Welfare Specification (WWS) and Code of Practice (CP-244), to key achievements in connectivity, medical access, and contractor engagement. It addresses the challenges encountered, such as low initial contractor buy-in, and outlines the proactive mitigation strategies, including empowerment and enforcement, to ensure sustained compliance. The findings demonstrate that a structured and ethical approach to worker welfare not only enhances compliance but also significantly improves worker morale and is a key driver for operational excellence and long-term ethical resilience in the energy sector.

### **Introduction**

The energy industry's social contract is evolving. Stakeholders, including investors, regulators, and communities, are increasingly scrutinizing how companies manage their human capital, particularly in complex and high-risk environments. This has elevated the discourse from mere physical safety to a more holistic concept of worker welfare, encompassing dignity, ethical labor practices, and psychological well-being. Petroleum Development Oman (PDO), as a national and regional leader in the energy sector, recognizes this shift. This paper outlines PDO's strategic and operational journey to proactively address this challenge by developing and implementing a comprehensive worker welfare framework. The objective is to share the methodology, achievements, challenges, and lessons learned from a large-scale program designed to embed a culture of ethical resilience across an organization with a workforce exceeding 70,000 employees and contractors.

## Background and Strategic Rationale

PDO operates a vast and complex network of oil and gas fields across Oman, a context that presents unique challenges for worker welfare. The rationale for a new, robust framework was driven by several strategic imperatives:

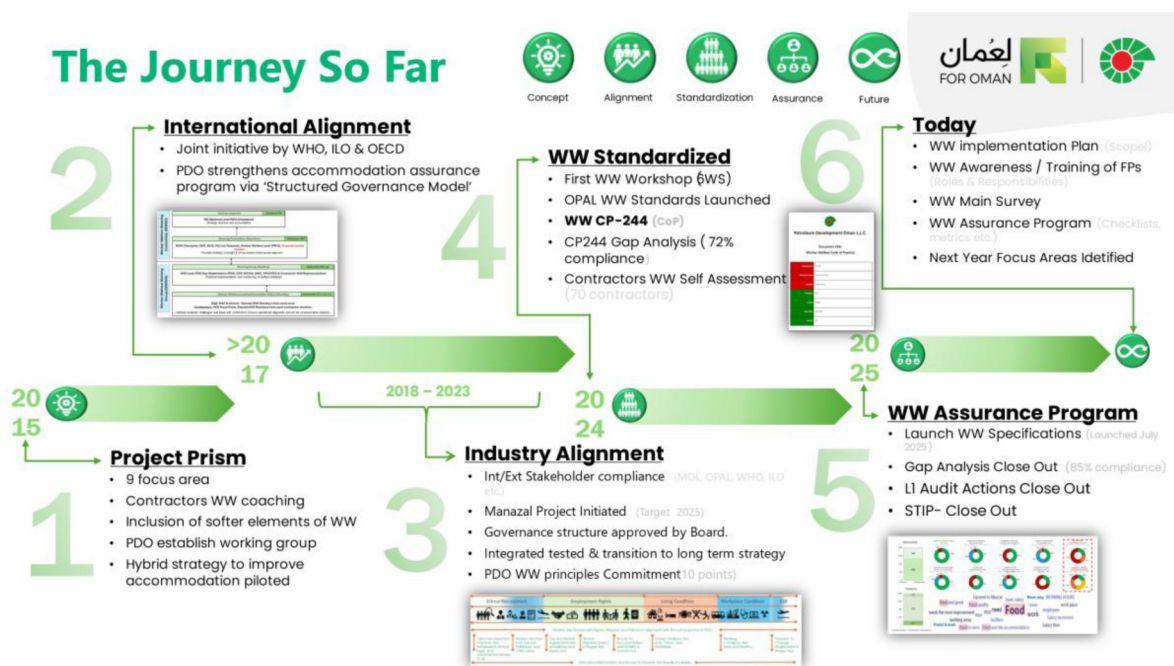
**Oman Vision 2040:** The national vision emphasizes a productive and sustainable economy with a focus on human capital development. A strong worker welfare program directly contributes to this by fostering a skilled, healthy, and motivated workforce.

**National and International Alignment:** The framework was developed to ensure strict compliance with Omani Labor Law while also aligning with international standards such as those from the International Labour Organization (ILO), the UN Global Compact (UNGC), and industry-specific benchmarks like OPAL (Oman Society for Petroleum Services).

**Operational Excellence:** PDO recognizes a direct correlation between a healthy, respected, and engaged workforce and a reduction in incidents, improved productivity, and enhanced operational performance.

**Reputational and Ethical Imperative:** Upholding high standards of worker welfare is a moral obligation and a critical component of maintaining a strong social license to operate.

## PDO Journey in Worker Welfare



This strategic shift is best understood as a multi-phased journey:

**Phase 1: Project Prism (2015-2017):** This foundational phase focused on identifying gaps in a 9-focus area framework through a hybrid audit strategy. It involved PDO establishing a working group and a collaboration with contractors to pilot initial improvements in accommodation.

**Phase 2: International Alignment (2018-2023):** Building on the initial findings, PDO participated in a joint initiative with the WHO, ILO, and OECD to strengthen accommodation assurance through a "Structured Governance Model."

**Phase 3: Industry Alignment (2024):** This phase centered on integrating the framework with wider industry standards. Key milestones included the Manazal Project initiative, receiving governance approval

from the board, and a commitment to integrating tested standards into the long-term strategy. The PDO worker welfare principles, with their 10 core points, were also developed during this period.

**Phase 4: Standardization (2024):** This phase marked a significant move towards formalizing the program. The first Worker Welfare Workshop (6WS) was conducted, and the OPAL Worker Welfare Standards were launched. The PDO Worker Welfare Specification (CP-244), a mandatory Code of Practice for all contractors, was also established. An initial gap analysis of 70 contractors revealed a 72% compliance rate, highlighting areas for targeted improvement.

### **The Short-Term Improvement Program (STIP) and Key Progress**

The Short-Term Improvement Program (STIP), initiated in 2022, was launched to accelerate progress on critical, high-impact gaps identified in the initial assessments. This focused program addressed key areas of worker welfare, including:

***PAC Expansion & PDO Camps Improvement:*** Projects to expand Permanent Accommodation for Contractors (PAC) and upgrade existing PDO camps.

***Accommodation Inspections:*** Enhancing the frequency and quality of inspections to ensure high standards.

***Medical Emergency Response: Centralizing*** clinic operations to streamline emergency response and improve medical access.

***Ethical Labour Practices & PRISM - EVS:*** Reinforcing ethical recruitment and employment practices.

***Interior Wi-Fi:*** Expanding and improving digital connectivity in remote interior locations.

***WW in Contracts:*** Ensuring worker welfare standards are formally embedded and enforced in all contracts.

The STIP is planned to be fully closed by the end of Q4 2025, with more than 95% of all actions completed. The remaining outstanding actions from this program will be systematically addressed as part of the new Manazil project, ensuring a seamless transition and sustained focus on worker welfare improvements.

### **L1 Worker Welfare Audit by Shell (October 2023)**

A Pivotal Moment in the journey was the First PDO Worker Welfare Internal Audit, conducted with guest auditors from Shell in October 2023. The audit's opinion was a "Needs Significant Improvement" rating, identifying major gaps in three key areas:

***Gaps in Governance & Assurance:*** The audit found inadequate long-term governance and a lack of clear communication of PDO's worker welfare commitment.

***Non-embedment of WW Standards in Contracts:*** The audit highlighted that there was no systematic embedment of worker welfare standards and requirements in pre- and post-award contract management processes.

***Gaps in Accommodation Standards:*** It noted limited follow-up on identified camp deficiencies and an inspection checklist that was not comprehensive enough to assure compliance.

In response, a series of 29 High-severity actions were raised. Significant progress has been made, with many actions now documented as 'Closed' and the rest 'In Progress.' Key outcomes include the formal announcement of PDO's WW commitment, the development and publication of a new Accommodation Standard (SP-2217), and the update of the Model Contract Library to include welfare-related clauses. This demonstrates a swift and serious response to the audit's findings and provides a clear impetus for the subsequent phases of the program.

### **The PDO Worker Welfare Framework: A Structured Approach**

The PDO worker welfare framework is a multi-layered system designed for scalability, accountability, and continuous improvement. Its core elements are anchored in a structured methodology:

## Governance and Leadership

A new governance model was established to provide clear oversight. This includes the appointment of a senior management "Worker Welfare Champion" and the designation of a dedicated "Worker Welfare Lead" and team. Communication and reporting lines were formalized to ensure transparency and accountability at all levels. The strategic direction and ultimate oversight of the Worker Welfare program is provided by the Managing Director (MD) of PDO. This structure is designed to function as a clear escalation process for unresolved worker welfare issues, aligned with PDO's grievance mechanism.

**Localized Worker Welfare Committees:** At the grassroots level, localized committees are established in each camp and site. These committees, which include elected worker representatives and site management, serve as the first point of contact for worker welfare issues. Their primary role is to address and resolve concerns at the local level.

**Worker Welfare Working Group:** Unresolved issues from the localized committees are escalated to the Worker Welfare Working Group. This group comprises representatives from various departments, including HR, Legal, Medical, and the Worker Welfare team. They are responsible for a more in-depth review of the issue, coordinating with multiple stakeholders, and finding a resolution.

**Worker Welfare Steering Committee:** If an issue remains unresolved by the Working Group, it is escalated to the Worker Welfare Steering Committee. This high-level committee, which includes senior management, is responsible for providing strategic direction and making definitive decisions on complex worker welfare issues.

**The Managing Director (MD):** In the rare event that an issue cannot be resolved at the Steering Committee level, it is escalated to the Managing Director (MD) of PDO. This final level of escalation ensures that the most critical issues receive the highest level of leadership attention and resolution.

## Standardization and Specification

The program's foundation is the Code of Practice (CP-244) and the PDO Worker Welfare Specification (WWS) SP2515.

**Purpose.** The SP2515 is a comprehensive and mandatory document designed to define and establish clear standards for fair, ethical, and humane working and living conditions for all PDO employees and contractors. Its core purpose is to ensure the health, safety, security, and holistic well-being of the entire workforce by supplementing existing PDO policies and national labor laws.

**Alignment & Foundation.** SP2515 is built upon a foundation of national and international best practices, ensuring that PDO's commitment to worker welfare is robust and globally recognized. It is aligned with:

- Worker Welfare Code of Practice (CP-244): The guiding principles and non-negotiable requirements of PDO's internal framework.
- Oman Labor Law: Ensuring strict compliance with national legal standards for employment and labor.
- OPAL Worker Welfare Standards: Adhering to industry-specific benchmarks set by the Oman Society for Petroleum Services.
- International Standards: The document draws on principles from the International Labour Organization (ILO) and the UN Global Compact (UNGC).

**Scope.** This specification applies to all personnel involved in PDO's operations, including:

- All PDO Employees: Ensuring consistent standards across the internal workforce.
- All Contractors and Subcontractors: Mandating compliance throughout the entire supply chain, regardless of the size or nature of the contract.

**Key Focus Areas of SP2515.** The specification is structured into a logical and comprehensive framework, covering the following six critical areas

- **Leadership and Commitment:** This section mandates clear accountability from senior management, the appointment of a dedicated Worker Welfare Lead, and the integration of worker welfare principles into the company's core values and strategic planning.
- **Ethical Recruitment:** SP2515 sets strict requirements to prevent deception, coercion, and financial exploitation during the recruitment process. It mandates fair, transparent, and voluntary recruitment practices, and upholds the "Employer Pays Principle" to ensure no fees are charged to workers.
- **Employment Rights:** The document establishes clear standards for employment manuals and contracts, ensuring they are aligned with Oman's Ministry of Labor requirements. It covers fundamental rights such as non-discrimination, freedom of movement, and protection against retaliation.
- **Living Condition:** This section specifies mandatory requirements for worker accommodation, including building codes, safety standards, and hygiene protocols. It ensures that living spaces are safe, clean, and humane, with proper facilities and amenities.
- **Working Condition:** SP2515 outlines requirements to ensure a safe, healthy, and dignified work environment. It covers health and safety regulations, provisions for medical access and mental health support, and the availability of essential workplace facilities and amenities.
- **Worker Welfare Assurance:** This final component details the mechanisms for monitoring and ensuring compliance with the specification. It includes a framework for audits (L2, L3), monitoring protocols, and the requirement for robust documentation and record-keeping to drive continuous improvement.

**Expected Outcomes.** By mandating adherence to SP2515, PDO aims to:

- Enhance the overall well-being, dignity, and safety of its workforce.
- Improve operational performance and productivity by fostering a more engaged and motivated staff.
- Mitigate legal, reputational, and operational risks associated with poor worker welfare.
- Reinforce its position as a leader in ethical business practices within Oman and the global energy sector.

### **Assurance and Monitoring**

A robust assurance framework was designed to monitor compliance and identify gaps. This includes:

**Worker Welfare Self-Assessment.** Conduct self-assessments using the approved Worker Welfare Self-Assessment Checklist, on a quarterly basis or as required.

### **L3 Audits**

Perform L3 audits to assess compliance with the WW Specification.

**Worker Welfare Integration in HSE Monitoring Plan.** Ensure that Worker Welfare compliance items are effectively integrated and tracked within the HSE monitoring plan.

**Worker Welfare Committee and Resident Committee Engagement.** Conduct monthly meetings with Worker Welfare Committees and/or Resident Committees to ensure effective worker representation, continuous dialogue, and welfare improvement.

### **Worker Welfare Focused Survey**

Conduct monthly worker surveys on key welfare topics to capture workforce concerns and emerging risks.

### **Worker Welfare Action Tracker**

Maintain a centralized Action Tracker monitor complaints, grievances, and corrective actions until closure.

### **Change Management and Communication**

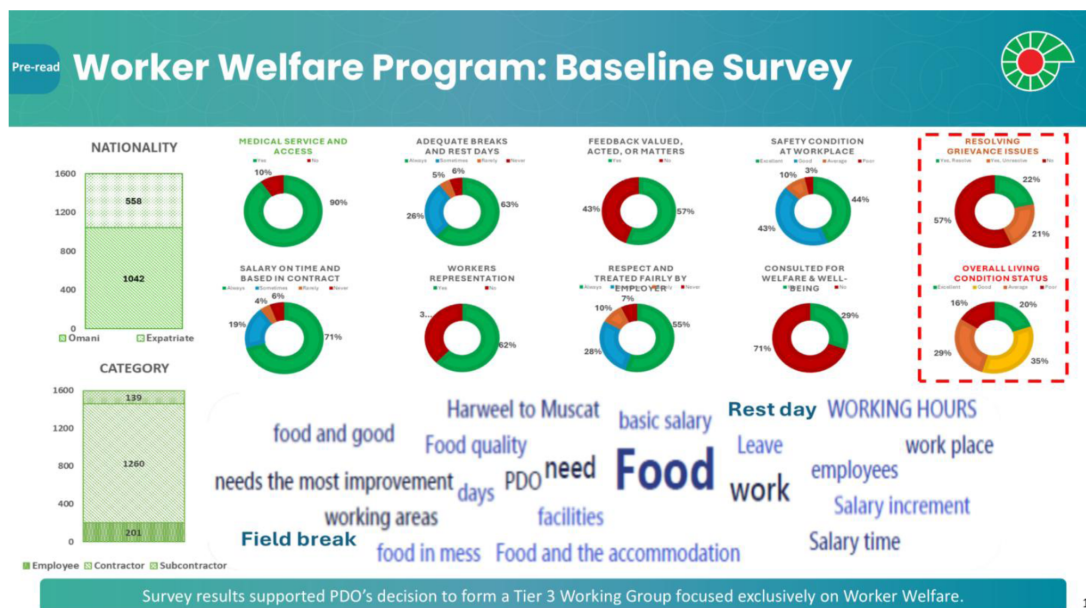
A structured change management approach was deployed to embed the new framework. This included developing targeted training modules and launching awareness campaigns to foster a culture of respect and accountability.

## **Implementation and Key Achievements**

The implementation of this framework has seen significant progress across various milestones, demonstrating a strategic and sustained commitment to worker welfare:

- **WW Short-term Program:** Initiated in 2022, this program is 97% complete and on target for final delivery. The program successfully addressed high-priority deficiencies and established a foundation for the broader, long-term framework.
- **WW Audit Action:** Audit actions are 95% completed and on target, demonstrating a strong follow-through on identified improvements and a proactive approach to closing compliance gaps. The high completion rate reinforces the effectiveness of the assurance system.
- **Manazel Project:** This crucial project for upgrading existing PDO camps started in 2025. This multi-year initiative is a cornerstone of the long-term strategy, ensuring that living conditions evolve with modern standards and worker needs.
- **PDO Gap Analysis :** A new, comprehensive gap analysis was conducted in 2024, achieving 85% closure of the gaps identified last year. This provides a current, data-driven snapshot of compliance and informs the next phase of corrective actions.
- **WW Specification (WWS):** The WW Specification (WWS) was completed at 100% and published in July 2025, This detailed document operationalizes the principles of CP-244 and provides specific, measurable requirements for all levels of the supply chain.
- **WW Implementation Plan (WWIP):** The development of the WWIP is 100% complete and started in 2025. This plan serves as the practical roadmap for rolling out the WWS and ensuring its effective adoption.
- **WW Implementation Rollout and Monitoring:** This phase started in 2025 and is currently ongoing, focusing on the practical application of the WWS and the establishment of a continuous monitoring system.
- **Initial Worker Welfare Survey (Pulse check):** In February 2025, PDO launched its initial Worker Welfare survey . This comprehensive survey engaged a wide range of employees from both PDO and its contractor partners, with the primary objective of gathering direct, unfiltered feedback on their perceptions of current living and working conditions and other worker welfare initiatives. The valuable data collected will serve as a vital benchmark for our future efforts, guiding our implementation plan, prioritizing improvement initiatives, and ensuring our program effectively addresses the needs and concerns of our entire workforce.
  - **Key Demographics:** The survey engaged a diverse workforce from multiple locations across Oman. The majority of respondents were contractors (1,399 out of 1,600), ensuring the voice of the extended workforce was heard. The survey was offered in multiple languages, with Arabic and English being the most common responses, followed by Hindi, Urdu, and Bengali.

- Key Findings & Gaps: The results provided clear direction for the program's focus areas, highlighting significant gaps that need to be addressed:
- Living Conditions: Only 311 workers rated their living conditions as "excellent," with 449 rating them "average" and 250 as "poor." Specific concerns included poor hygiene, old mattresses, lack of privacy, and insufficient laundry and maintenance services.
- Food Quality: Consistently poor food quality, limited variety, and food safety concerns were reported, impacting worker morale and health.
- Grievances & Communication: A significant number of workers (690) reported they did not know how to raise a grievance, and 695 felt their feedback was not valued or acted upon. This highlights a critical need to improve communication channels and grievance mechanisms.
- Salary & Benefits: A majority of workers (981) felt their wages were insufficient to meet basic needs, with some reporting salary delays and a lack of financial incentives.
- Health & Well-being: 157 workers reported a lack of access to medical services, and 615 stated that there were no programs promoting physical or mental well-being, indicating a need for more proactive health initiatives.



**Positive Trends:** The survey also revealed positive findings, with a high majority of workers rating workplace safety conditions as "excellent" or "good," and a strong perception that safety protocols are being followed.

**WW Main Survey:** A major milestone in the assurance program is the main worker welfare survey, which is planned to be conducted in September. This will be a large-scale assessment to measure progress and gain direct, invaluable feedback from the entire workforce on all aspects of their well-being.

## Challenges and Mitigation Strategies

The scale of the program, combined with the complexity of a multi-tiered supply chain, presented several challenges:

- **Contractor Engagement:** The initial gap analysis self-assessment saw a low response rate, 47 out of 70 contractors completing the exercise. This posed a risk to gaining a comprehensive view of compliance.

- Cultural Shift: Moving from a traditional, reactive safety culture to a proactive, holistic worker welfare mindset required consistent communication and leadership buy-in.
- Resource and Budgetary Constraints: The successful implementation of the framework required significant resource allocation, particularly for ongoing audits and camp improvement projects.
- To mitigate these challenges, the following strategies were implemented:
  - Empowerment and Enforcement: A directive was issued to senior management to enforce compliance, making worker welfare a non-negotiable component of contract management.
  - Phased Rollout: The phased approach allowed for lessons learned in the pilot stages to be applied to broader implementation, optimizing resource use and improving the effectiveness of the program.
  - Collaboration: Working groups involving key stakeholders from HR, Legal, Medical, and external affairs ensured a coordinated and integrated approach to implementation.

## The Value Proposition for PDO and Oman

The successful implementation of this worker welfare framework is not just a compliance exercise; it is a strategic investment that generates significant value:

**Enhanced Operational Resilience:** A healthy, motivated, and well-supported workforce is less prone to fatigue-related errors, stress, and illness, directly reducing operational incidents and enhancing productivity.

**Strengthened Social License to Operate:** Proactive worker welfare demonstrates PDO's commitment to ethical practices, strengthening its reputation with communities, regulators, and international partners. This is crucial for maintaining a long-term, sustainable presence in Oman.

**Improved Human Capital:** The program contributes directly to Oman Vision 2040 by developing a healthier, more skilled, and productive workforce. It attracts and retains talent, positioning PDO as an employer of choice in a competitive market.

**Increased Competitive Advantage:** By setting and enforcing high standards, PDO drives up the quality of its contractor base. This leads to more reliable partners and a higher overall standard of service delivery.

**Reduced Long-Term Costs:** While initial investment is required, a proactive welfare program reduces long-term costs associated with high worker turnover, absenteeism, medical expenses, and incident investigation.

## Conclusion and Future Outlook

PDO's journey represents a profound transformation from a compliance-driven mindset to one where worker welfare is a cornerstone of our strategic and ethical resilience. The successful development of our comprehensive framework, fortified by the candid findings of the 2023 Shell audit and the data from our 2025 baseline survey, has enabled us to achieve tangible and measurable results in a remarkably short period.

The path forward is clear and resolute. We are committed to the full closure of all remaining STIP actions and the aggressive execution of our new Manazil project. The upcoming L3 audits in Q4 2025 and our main WW survey in September will provide critical data for our Assurance Program, ensuring we have a complete and accurate line of sight on our progress. This is not merely a project but a fundamental and enduring commitment to continuous improvement.

By embedding dignity, respect, and well-being into the very fabric of our operations, PDO is not only securing a more productive and resilient workforce but is also setting a new industry benchmark. This program is a living testament to our dedication to our people, and it positions PDO as a global leader in ethical business conduct, contributing directly and powerfully to the prosperity and sustainable future envisioned by Oman Vision 2040.